Themes and Trade Ideas

Fixed Income

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Quick Take on Tupy's 4Q25 Results

In this note we provide a brief overview of Tupy's 4Q25 credit metrics, operational performance and our bond view for the company.

- **The results.** Net revenues fell 12.4% YoY to BRL 2.2 billion, driven by a sharp contraction in the Structural Components and Manufacturing Contracts business amid weaker truck demand in Brazil and North America and customer inventory reductions. Adjusted EBITDA declined to BRL 39 million (-84.5% YoY), with the margin compressing to 1.8% (from 10.1%), reflecting lower volumes, poor fixed-cost dilution, deterioration in quality indicators and the appreciation of the BRL and MXN against the USD. The traditional business posted negative margins in the quarter, while MWM-related activities remained resilient, delivering EBITDA margins around 10%, partially mitigating the pressure on consolidated results.
- Net debt edged down QoQ to BRL 2.21bn, but net leverage increased to 3.3x (from 2.6x in 3Q25), reflecting the sharp QoQ decline in LTM adjusted EBITDA.
- **Bond view**. TUPY '31 currently trades at an 11.3% YTW, after being the worst-performing bond among non-cyclical high-yield Brazilian corporates YTD, with a z-spread widening of ~157 bps. The underperformance is likely driven by investors' risk aversion, as well as uncertainties regarding a recovery in global commercial vehicle production amid geopolitical tensions, which leave the company without clear triggers for deleveraging in the short term.
- For more details on credit metrics and operational performance, see the analysis below.

Tupy

Moody's: N.R.
S&P: BB+ (Negative)
Fitch: BB- (Stable)

Credit Metrics

BRL mm	4Q24	1Q25	2Q25	3Q25	4Q25	YoY	QoQ
Net Revenues	2,493	2,483	2,627	2,399	2,183	-12.4%	-9.0%
Adjusted EBITDA	252	247	210	165	39	-84.5%	-76.3%
EBITDA Margin	10.1%	10.0%	8.0%	6.9%	1.8%	-8.3 p.p.	-5.1 p.p.
Free Cash Flow	402	-99	4	198	199	-50.6%	0.4%
Gross Debt	4,792	4,260	4,045	3,940	4,097	-14.5%	4.0%
Cash and Equivalents	2,450	1,713	1,437	1,649	1,885	-23.1%	14.3%
Net Debt	2,342	2,506	2,568	2,260	2,212	-5.6%	-2.1%
Net leverage	1.8x	2.0x	2.5x	2.6x	3.3x	1.5x	0.8x
Cash / Short-term Debt	3.7x	5.7x	7.3x	13.0x	8.8x	5.1x	-4.2x

Source: Company, Itaú BBA.

Our FCF is calculated as: i) (+/-) net income adjusted for non-cash items; ii) (+/-) variation of assets and liabilities; iii) (-) interest expenses; iv) (-) income tax payments; and v) (-) capex.

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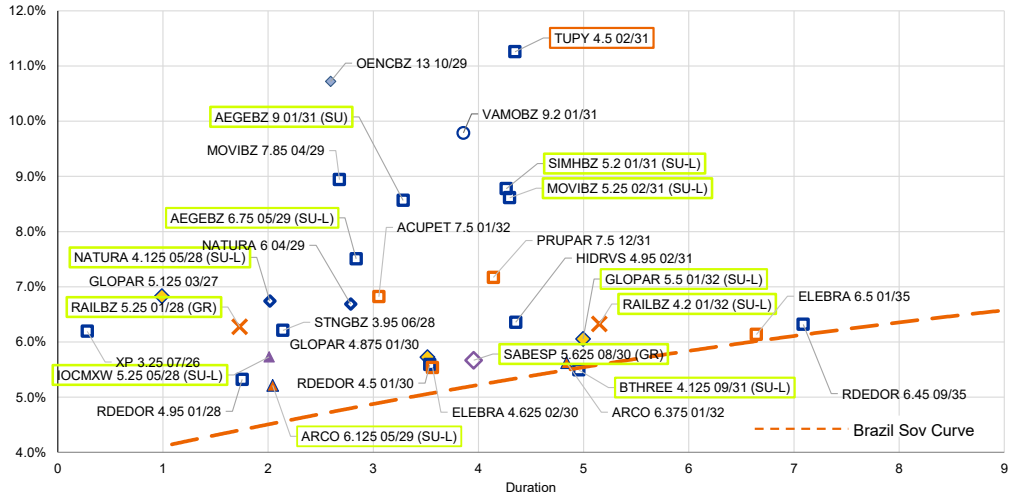
Yield (YTW, %) vs. Duration – Non-Cyclical High Yield Brazilian Corporate Bonds



Source: Bloomberg, Itaú BBA. (*) The green labels indicate the ESG Bonds.

Operating Performance (From Itaú BBA's Equity Research Capital Goods Team)

Negative. Tupy reported results below our estimates, even after adjusting for several one-off expenses recorded in the quarter. Adjusted EBITDA margin reached only 2% (vs. our 3% forecast), as a 12% decline in net revenue reduced operating leverage and limited cost dilution. The company recorded BRL 544mn in non-recurring expenses related to ongoing capacity-reduction initiatives, leading to an accounting net loss of BRL 626mn. While Tupy is set to enter 2026 with a leaner cost structure and potentially improved operational footprint, we continue to see downside risk to our estimates. Global macro uncertainty is likely to continue weighing on auto demand, with negative implications for Tupy's top line and profitability.

- **Revenue.** Consolidated revenue declined 12.4% YoY to BRL 2.18bn, in line with expectations. High interest rates, trade war's direct and indirect impacts, challenges within the agribusiness sector were the main factors affecting demand across Tupy's main segments, with commercial vehicles in Brazil as the lowlight (41% lower revenue YoY). FX was an additional detractor, as the BRL appreciated vs. USD on an average basis (5.40 vs. 5.83 in 4Q24).

- **EBITDA.** Profitability deteriorated sharply as gross margin fell to 8.0% (from 17.0% in 4Q24), reflecting lower operational leverage and weaker cost dilution amid lower production levels. Adjusted EBITDA came in at BRL 39m (-84.5% YoY), implying a 1.8% margin (vs. 10.1% in 4Q24). Accounting EBITDA was negative at BRL -273m, reflecting the heavy burden from "other operating income/expenses" in the quarter, as described below.

- **Impairment.** Amid the current challenge scenario and as part of its ongoing capacity adjustment, Tupy recorded several accounting losses in the quarter, totaling BRL 544: i) ~BRL 327m in impairments in 4Q25 (BRL 325m PP&E +BRL 2.5m intangibles), linked to the ongoing process of capacity optimization and reallocation of production to more efficient lines; ii) ~BRL 40m inventory write-down to realizable value; iii) restructuring expenses of BRL 52m; and iv) BRL 125m tax credits write off.

- **Bottom line and leverage.** The quarter ended with an accounting net loss of BRL 627m (vs. BRL -98m in 4Q24), driven by weaker operating performance and sizable non-recurring items (including restructuring and write-offs booked within other operating results). Net financial result was BRL -92m (vs. +BRL 11m in 4Q24). Net debt ended

the quarter at BRL 2.2bn, down from BRL 2.3bn, while net debt/Adj. EBITDA increased to 3.35x (from 2.58x in 3Q25), mainly due to the contraction in LTM adjusted EBITDA.

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